



Red Sea Crisis

Ripples in the Ocean of Global Trade

Case Study

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*"Emphasizing the global importance of maritime security, we call on all parties not to threaten or interfere with lawful exercise of navigation rights and freedoms by all vessels, and condemn the four attacks on December 3 against three separate commercial vessels, connected to fourteen separate nations, operating in international waters in the southern Red Sea."*¹

– G7 Leaders' Statement – The White House Press Release

*"Maritime security is indispensable for effective trade flows... Any progress achieved so far towards a comprehensive ceasefire agreement in Yemen should not be overshadowed by the escalating violence in the Red Sea... As custodians of international peace and security, it is our collective responsibility to ensure that the ongoing peace efforts in Yemen are not jeopardized by these attacks."*²

– Domingos Estêvão Fernandes³

*"Maritime transport is really the lifeline of global trade. These disruptions underline their vulnerability to geopolitics, tensions, and climate changes."*⁴

– Jan Hoffmann, Chief of Trade Logistics at UNCTAD

Belgian and German automotive manufacturing production came to a halt. A popular British retail establishment delayed the launch of its spring fashion lines. A Maryland-based medical supplies manufacturer grappled with indeterminate timelines for the receipt of components from Asia. The global trade landscape was confronting another mayhem from the ship attacks in the Red Sea, exacerbating existing challenges from pandemic-related port disruptions and Russia's invasion of Ukraine.⁵ The Red Sea region, a key global maritime link

¹ "G7 Leaders' Statement", <https://www.whitehouse.gov/briefing-room/statements-releases/2023/12/06/g7-leaders-statement-6/>, December 6th 2023

² "Alarmed by Attacks on Ships in Red Sea, Top UN Officials Urge Protection of Global Supply Chains, Avoiding Deeper Regional Tensions, in Security Council Briefing", <https://reliefweb.int/report/yemen/alarmed-attacks-ships-red-sea-top-un-officials-urge-protection-global-supply-chains-avoiding-deeper-regional-tensions-security-council-briefing>, January 5th 2024

³ He is Deputy Permanent Representative of Mozambique to the UN.

⁴ Gray Angus, "The Red Sea shipping crisis is having a 'dramatic' impact, warns logistics chief", <https://news.un.org/en/story/2024/01/1145902>, January 25th 2024

⁵ "Attacks on ships in the Red Sea are disrupting global trade. Here's how it could affect what you buy", <https://www.cnbc.com/2024/01/28/attacks-in-the-red-sea-are-hurting-trade-how-it-can-affect-buying.html>, January 28th 2024

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that connected the Indian Ocean to the Mediterranean sea, handling 12% of global trade, was becoming a focal point for escalating geopolitical tensions.⁶ Yemen's Houthi rebels, in a bid to counter Israel's actions in Gaza, were targeting cargo ships along the Asia-Europe-US route and diverting the traffic from the Suez Canal and around the tip of Africa.⁷ This was escalating the logistics costs, delay in delivery times, seafarer safety, and supply chain stability.⁸ Additionally, worries emerged regarding the impact on oil supplies and resulting inflation in economies.⁹

The leading major shipping companies like Maersk had suspended their operations and seeking for sustainable alternative routes.¹⁰ Amidst this scenario, the debate emerged, regarding the sustainability of the Suez Canal and Red Sea route. Will alternative routes be able to effectively address the energy crisis and stabilise the faltering global supply chain?

Red Sea Crisis: A Brief Overview

The Red Sea which served as a crucial gateway to the southern entry of the Suez Canal stood as one of the world's vital and densely utilised shipping lanes.¹¹ It connected the US East Coast with the Far East, and North Europe and the Eastern Mediterranean with key shipping chokepoints—Suez Canal, Bab-el-Mandeb Strait, and the Gulf of Aden.¹² **(Exhibit I)**. Its significance in the global economy was underscored by providing navigation to about 19,000 vessels annually between the Indian Ocean and the Mediterranean Sea.¹³ This vital waterway facilitated faster travel times, reducing the journey from the Eastern Mediterranean to the US East Coast to about one week from three weeks, and to Northern Europe by about 10 to 14 days.¹⁴ The shipping distance between Asia and Europe was lessened by nearly 50% due to the canal. Notably, 12% of global trade, valued at over \$1 trillion, encompassing 30% of global container traffic, traversed through the Red Sea annually.¹⁵

Europe and North America heavily relied on the Suez Canal, the SUMED pipeline, and the Bab-el-Mandeb Strait as primary routes for transporting oil and liquefied natural gas (LNG) from the Persian Gulf. In the first half of 2023, this route accounted for 12% of total seaborne-traded oil and 8% of worldwide LNG trade.¹⁶ **(Exhibit II)**.

⁶ "The Red Sea Crisis Explainer", <https://wefreight.com/the-red-sea-crisis-explainer/>, January 12th 2024

⁷ "Attacks on ships in the Red Sea are disrupting global trade. Here's how it could affect what you buy", op.cit.

⁸ "Alarmed by Attacks on Ships in Red Sea, Top UN Officials Urge Protection of Global Supply Chains, Avoiding Deeper Regional Tensions, in Security Council Briefing", op.cit.

⁹ "What are the impacts of the Red Sea shipping crisis?", <https://www.jpmorgan.com/insights/global-research/supply-chain/red-sea-shipping>, February 8th 2024

¹⁰ Partington Richard, "What is the Red Sea crisis, and what does it mean for global trade?", <https://www.theguardian.com/world/2024/jan/03/what-is-the-red-sea-crisis-and-what-does-it-mean-for-global-trade>, January 3rd 2024

¹¹ Ludwikowski R. Mark, et al., "The Red Sea shipping crisis: lessons for importers", <https://www.reuters.com/legal/legalindustry/red-sea-shipping-crisis-lessons-importers-2024-02-21/>, February 22nd 2024

¹² Sisodia Singh Srishti, "Rising Red Sea tensions and its potential impact on India's export and oil trade", <https://www.wionews.com/world/rising-red-sea-tensions-and-its-potential-impact-on-indias-export-and-oil-trade-681608>, January 19th 2024

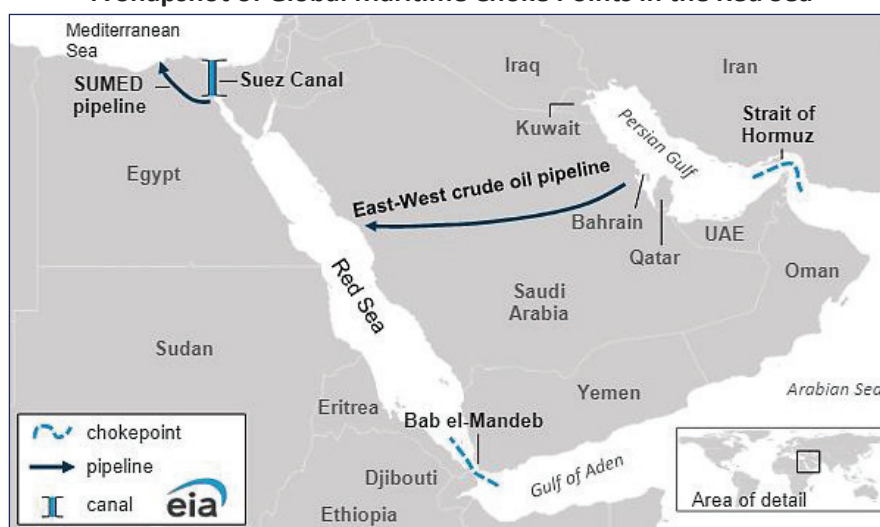
¹³ "The Red Sea shipping crisis: lessons for importers", op.cit.

¹⁴ "Rising Red Sea tensions and its potential impact on India's export and oil trade", op.cit.

¹⁵ "The Red Sea shipping crisis: lessons for importers", op.cit.

¹⁶ Dunn Candace and Barden Justine, "Red Sea chokepoints are critical for international oil and natural gas flows", <https://www.eia.gov/todayinenergy/detail.php?id=61025>, December 4th 2023

Exhibit I
A Snapshot of Global Maritime Choke Points in the Red Sea



Source: Dunn Candace and Barden Justine, “Red Sea chokepoints are critical for international oil and natural gas flows”, <https://www.eia.gov/todayinenergy/detail.php?id=61025>, December 4th 2023

Exhibit II
The Crude Oil Transport through Key Maritime Routes (2018-2023)

million barrels per day	2018	2019	2020	2021	2022	1H23
Total oil flows through Suez Canal and SUMED pipeline	6.4	6.2	5.3	5.1	7.2	9.2
crude oil and condensate	3.4	3.1	2.6	2.2	3.6	4.9
petroleum products	3.0	3.1	2.6	2.9	3.6	4.3
LNG flows through Suez Canal (billion cubic feet per day)	3.3	4.1	3.7	4.5	4.5	4.1
Total oil flows through Bab el-Mandeb Strait	6.1	5.9	5.0	4.9	7.1	8.8
crude oil and condensate	3.0	2.7	2.2	1.9	3.3	4.5
petroleum products	3.1	3.2	2.8	3.1	3.8	4.4
LNG flows through Bab el-Mandeb Strait (billion cubic feet per day)	3.1	3.9	3.7	4.5	4.5	4.1

Source: Dunn Candace and Barden Justine, “Red Sea chokepoints are critical for international oil and natural gas flows”, <https://www.eia.gov/todayinenergy/detail.php?id=61025>, December 4th 2023

The Red Sea route facilitated 8% of the global grain trade and also handled 40% of the Asia-Europe trade, encompassing various goods such as food products, palm oil, grains, oil, diesel, and containerised items. The Suez Canal alone witnessed the passage of 17,000 ships, contributing to 10% of global trade, and more than 1 million barrels of crude oil daily. Major ports along the Red Sea including Egypt, Saudi Arabia, and Yemen, served as crucial hubs for loading and unloading cargo, warranting a smooth international trade flow. Thus, security and stability of this region had been a paramount concern for nations.¹⁷

The global focus on this route was expanding due to the region’s increased geo-economic significance, driven by the rising consumer class in Africa and notable hydrocarbon discoveries in the Cape Horn.¹⁸ I2U2 countries, comprising India, Israel, UAE, and the US were strategically positioning their military assets in the Red Sea region to enhance the regional influence.

¹⁷ Mukherjee Ishasree, “The Red Sea Crisis in Global Trade”, <https://intueriglobal.com/the-red-sea-crisis-in-global-trade/>, February 6th 2024

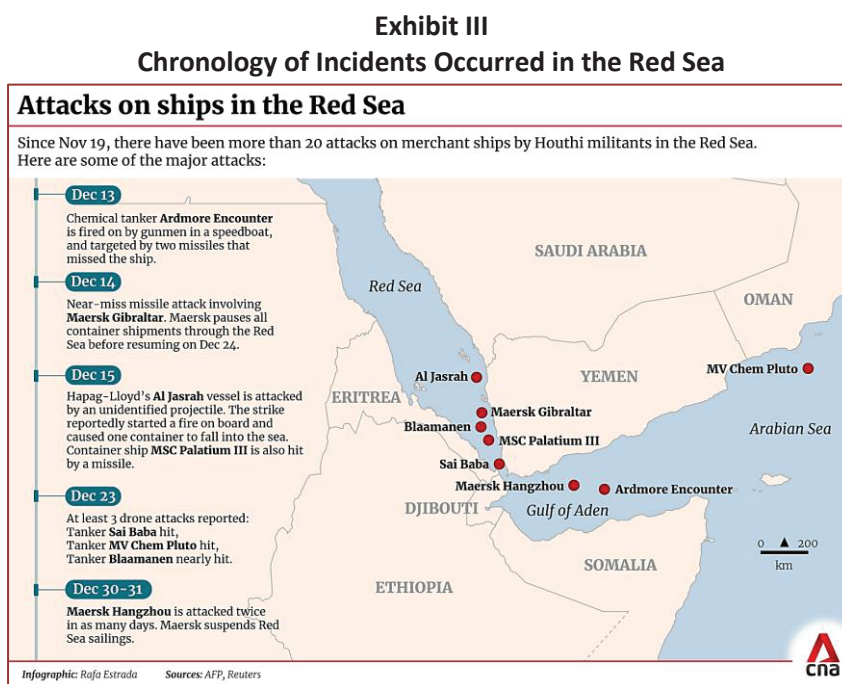
¹⁸ Vertin Zach, “Red Sea geopolitics: Six plotlines to watch”, <https://www.brookings.edu/articles/red-sea-geopolitics-six-plotlines-to-watch/>, December 15th 2019

Simultaneously, China bolstered its presence in the Red Sea for its Belt and Road Initiative.¹⁹ But now this maritime artery of the global trade was ensnared in these mounting geopolitical tensions.²⁰

The Ongoing Attacks in the Red Sea

Zera Zheng (Zheng), Global Head of Business Resilience Consulting at Maersk stated, “The Red Sea has become a hotspot of geopolitical tension due to Houthi militants targeting commercial vessels, with over 33 attacks reported since 19 November 2023. These disruptions threaten a key maritime route essential for a significant share of global container traffic and over \$1 trillion in annual merchandise.”²¹

On November 19th 2023, Houthi seized a British ship named ‘Galaxy Leader’, owned by an Israeli businessman, indicating that the attacks would be limited to Israeli vessels.²² But no sooner, other international vessels like Norwegian-owned Swan Atlantic and the MSC Clara also became the victim of these attacks.^{23,24} (Exhibit III). The rebels justified their actions by claiming as a response to the conflict in the Gaza Strip.



Source: Kit See Tang, “CNA Explains: What escalating Red Sea tensions mean for the world, including Singapore”, <https://www.channelnewsasia.com/world/red-sea-houthis-attacks-cna-explains-ships-trade-supply-chain-4026566>, January 6th 2024

¹⁹ Mishra Vivek, “The US and changing geopolitics of the Red Sea”, <https://www.orfonline.org/expert-speak/the-us-and-changing-geopolitics-of-the-red-sea>, July 16th 2022

²⁰ Cloudt Jen, “Red Sea Crisis, Its Global Economic Repercussions and What can you do about it”, <https://www.project44.com/blog/the-red-sea-crisis-and-its-global-supply-chain-repercussions>, February 9th 2024

²¹ “Red Sea attacks: What trade experts are saying about the shipping disruptions”, <https://www.weforum.org/agenda/2024/02/red-sea-attacks-trade-experts-houthi-shipping-yemen/>, February 20th 2024

²² Wald Ellen, “What’s behind the attacks on ships in the Red Sea”, <https://atlanticcouncil.org/blogs/new-atlanticist/whats-behind-the-attacks-on-ships-in-the-red-sea/>, December 20th 2023

²³ “Explainer - Houthi attacks and Red Sea crisis”, <https://www.manoramayearbook.in/current-affairs/world/2024/01/19/red-sea-crisis.html>, January 19th 2023

²⁴ “US announces 10-nation force to counter Houthi attacks in Red Sea”, <https://www.aljazeera.com/news/2023/12/19/us-announces-10-nation-force-to-counter-houthi-attacks-in-red-sea>, December 19th 2023

Again, in November 2023, the rebels systematically targeted vessels transiting through the Bab-el-Mandeb Strait, a 20-mile wide channel separating northeast Africa from the Arabian Peninsula's Yemen. The MV Genco Picardy, a US-based bulk carrier, succumbed to the attacks in the Red Sea in January 2024. Such series of incidents created safety concerns for commercial ships navigating the perilous waters of one of the world's busiest shipping lanes.²⁵

Brigadier General Yahya Saree, Houthi military spokesman stated, we "want to prevent Israeli ships from navigating the Red Sea (and Gulf of Aden) until the Israeli aggression against our steadfast brothers in the Gaza Strip stops. [We] continue to prevent all ships heading to Israeli ports... from navigating in the Arab and Red Seas until more food and medicine is allowed into Gaza."²⁶ Houthi rebels employed a range of tactics, including armed hijackers, missiles, and drones. For the seafarers caught in the turmoil was undeniably harrowing experience.²⁷

As a retaliatory action, countries like the US, French, and British warships intercepted Houthi drones and missiles.²⁸ Zheng stated, "In response, the US and EU spearheaded Operations Prosperity Guardian and Aspis to safeguard navigation and trade flows, yet challenges from the Houthis' deployment of drones and missiles and vessel tracking capabilities remain."²⁹ Despite extensive counterattacks, rebels persisted in targeting vessels and attacked 'Star Nasia' and the UK vessel 'Morning Tide'.³⁰

Despite several military operations, attacks continued to intensify. Abdul Malik al-Houthi, Leader of the Houthi movement, stated, "Operations in the Red and Arabian Seas, Bab al-Mandab Strait, and the Gulf of Aden are continuing, escalating, and effective."³¹ Ambrey Analytics data revealed that around 80 attacks took place in the Red Sea and the Gulf of Aden between November 2023, and February 2024.³² According to Michelle Wiese Bockmann³³ (Bockmann), "It's not a situation anyone would envy. Counting no fewer than 300 ships entering the most dangerous stretch of the Red Sea one day earlier this week. Every one of those 300 vessels has between 15 and 25 people on board. It's like a bus carrying passengers sailing straight into what, for them, is a warzone. They have no say in whether they do that."³⁴ CENTCOM³⁵ stated, "The Houthis continue to demonstrate disregard for the regional impact of their indiscriminate attacks, threatening the fishing industry, coastal communities, and imports

²⁵ Baraniuk Chris, "Red Sea crisis: What it takes to reroute the world's biggest cargo ships", <https://www.bbc.com/future/article/20240119-red-sea-crisis-how-global-shipping-is-being-rerouted-out-of-danger>, January 21st 2024

²⁶ Anand Akriti, "Explained| Who are Houthi rebels causing Red Sea crisis and What do they want", <https://www.livemint.com/economy/what-is-red-sea-crisis-who-are-yemen-houthi-rebels-israel-hamas-war-gaza-explained-11703090050424.html>, December 20th 2023

²⁷ "Red Sea crisis: What it takes to reroute the world's biggest cargo ships", op.cit.

²⁸ "UN's IMO working 'tirelessly' to solve Red Sea crisis: head", <https://www.thehindu.com/news/international/uns-imo-working-tirelessly-to-solve-red-sea-crisis-head/article67834912.ece>, February 11th 2024

²⁹ "Red Sea attacks: What trade experts are saying about the shipping disruptions", op.cit.

³⁰ "UN's IMO working 'tirelessly' to solve Red Sea crisis: head", op.cit.

³¹ Saul Jonathan and Abdallah Nayera, "Houthis to step up Red Sea strikes, use 'submarine weapons', leader says", <https://www.reuters.com/world/middle-east/vessel-attacked-by-missiles-southeast-yemens-aden-ukmto-says-2024-02-22/>, February 23rd 2024

³² "Red Sea attacks: What trade experts are saying about the shipping disruptions", op.cit.

³³ She is a Principal Analyst at Lloyd's List Intelligence.

³⁴ "Red Sea crisis: What it takes to reroute the world's biggest cargo ships", op.cit.

³⁵ It is the United States Central Command (USCENTCOM or CENTCOM), one of the eleven unified combatant commands of the U.S. Department of Defense.

of food supplies.”³⁶ The increased threats left the major shipping carriers to suspend operations in the Red Sea.³⁷

Will the Red Sea Crisis Disrupt Global Trade and Supply Chains?

In January 2024, Maersk stated, “The situation is constantly evolving and remains highly volatile, and all available intelligence at hand confirms that the security risk continues to be at a significantly elevated level. We have therefore decided that all Maersk vessels due to transit the Red Sea / Gulf of Aden will be diverted south around the Cape of Good Hope for the foreseeable future. We understand the potential impact this will have on your logistics operations, but please rest assured that all decisions have been carefully considered and ultimately prioritise the safety of our vessels, seafarers and your cargo.”³⁸

Sailing into treacherous waters like the Red Sea posed significant challenges beyond the immediate threat to safety was the cascading financial and logistical hurdles.³⁹ The major shipping companies like CMA CGM, Equinor, Evergreen, Frontline, Maersk, MSC, and BP, had halted their operations in the area to ensure the safety of the vessels, seafarers and cargo.^{40,41} Companies were seeking alternative ports of call, adjusting delivery schedules, amid soaring operational expenses.⁴² Consequently, to avoid this perilous route, 95% of the vessels opted for a lengthy detour around the Cape of Good Hope adding an extra ‘4,000 to 5,000 nautical miles and 15 to 20 days’ to the voyage.⁴³ The diversion added up to the challenges due to the increased fuel cost estimated at \$1.25 million per sailing.⁴⁴ “What’s happened right now is short-term chaos, and chaos leads to increased costs. Every ship that gets rerouted has 10,000 containers on it. It’s a lot of emails and phone calls getting made to replan each of those container journey,” expressed Ryan Petersen, CEO of Flexport, a supply chain management company.⁴⁵ (Annexure I).

Various other countries started working on alternative supply routes. Miri Regev, Israel Transport Minister cited, “We are now in the port of Mundra, the largest port in India in the north, from which goods come out... all these containers are exported to the UAE, and from the UAE by land to Israel. The war posed challenges before us, the biggest challenge being how do we bring goods to the State of Israel, as Israel is a coastal state and most goods arrive by sea... Cargo will depart from Mundra to ports via the sea, and then we will load it onto trucks or trains, through Saudi Arabia and Jordan to Israel... Crucially, a similar route might be used in the India Middle East Europe Economic Corridor (IMEC) too. The ambitious project aims to link India to Europe via the Middle East, but its final shape is yet to be decided and the Gaza war has thrown a spanner in

³⁶ “An attack on a cargo ship in the Red Sea has caused a miles-long oil slick. Things could get worse”, <https://indianexpress.com/article/world/attack-cargo-ship-red-sea-oil-slick-houthis-9180116/>, February 25th 2024

³⁷ “The Red Sea shipping crisis: lessons for importers”, op.cit.

³⁸ “Maersk Operations through Red Sea / Gulf of Aden”, <https://www.maersk.com/news/articles/2023/12/15/maersk-operations-through-red-sea-gulf-of-aden>, January 5th 2024

³⁹ “Red Sea crisis: What it takes to reroute the world's biggest cargo ships”, op.cit.

⁴⁰ Reid Gabrielle, “Further shipping companies suspend operations in the Red Sea”, <https://www.s-rminform.com/latest-insights/further-shipping-companies-suspend-operations-in-the-red-sea>, December 19th 2023

⁴¹ “Maersk Operations through Red Sea / Gulf of Aden”, op.cit.

⁴² “Red Sea crisis: What it takes to reroute the world's biggest cargo ships”, op.cit.

⁴³ “What is the current Red Sea Crisis & its impact on global trade?”, https://www.linkedin.com/pulse/what-current-red-sea-crisis-its-impact-global-trade-oc4rc/?trk=public_post_main-feed-card_feed-article-content, January 30th 2024

⁴⁴ “Rising Red Sea tensions and its potential impact on India's export and oil trade”, op.cit.

⁴⁵ “Attacks on ships in the Red Sea are disrupting global trade. Here’s how it could affect what you buy”, op.cit.

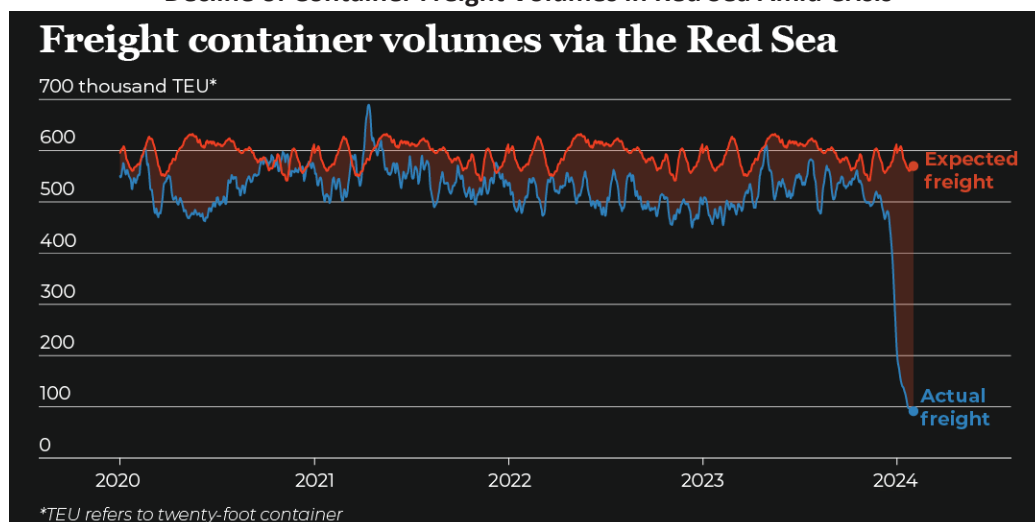
its progress.”⁴⁶ The diversion of the shipping route led to a delay in deliveries, reduced traffic at the major shipping gateways and an increase in freight and labour costs.⁴⁷

Traffic, Freight and Delivery times

In January 2024, the Red Sea region witnessed a sharp decline in trade volumes, plummeting by 60.9% compared to the previous year. Similarly, weekly average vessel transits experienced a significant drop of 55%, while trade volume decreased by 66% across Bab-el-Mandeb. Moreover, the Suez Canal saw a notable decrease, with a 40% decline in daily ship transit and a 32% drop in trade volume compared to December 2022.⁴⁸ The Drewry’s World Container Index⁴⁹ unveiled a significant surge in the average cost of shipping a 40-foot container from Shanghai to Rotterdam, more than doubling to \$3,577 per forty-foot equivalent unit (FEU). Similarly, rates from Shanghai to Genoa also doubled, reaching \$4,178 per FEU.⁵⁰ The British Chambers of Commerce (BCC) survey found that rerouting would add three to four weeks of delivery times and hike container prices by 300%. Rachael Waring, Managing Director at Warings Furniture commented, “We have had to budget for extra costs, because the quotes we’re getting for containers have been considerably higher.”⁵¹ Additionally, the freight rates from the Far East to the US shot by more than 150%.⁵² (Exhibit IV).

Exhibit IV

Decline of Container Freight Volumes in Red Sea Amid Crisis



Source: “Mapping the Red Sea attacks: How Houthi attacks on one of the world’s main maritime trade routes have impacted international trade”, <https://interactive.aljazeera.com/aje/2024/mapping-red-sea-shiping-attacks/>, February 22nd 2024

⁴⁶ “To bypass Red Sea, new trade route to Israel involving Mundra port: How this will work”, <https://indianexpress.com/article/explained/everyday-explainers/red-sea-new-trade-route-to-israel-via-mundra-9173917/>, February 22nd 2024

⁴⁷ “What is the current Red Sea Crisis & its impact on global trade?”, op.cit.

⁴⁸ Kaya Erkul Nuran, “Vessel traffic in Cape of Good Hope sees significant spike in last 2 months”, <https://www.aa.com.tr/en/middle-east/vessel-traffic-in-cape-of-good-hope-sees-significant-spike-in-last-2-months/3125446>, February 1st 2024

⁴⁹ Drewry’s World Container Index reports the actual spot container freight rates for East-West trade routes.

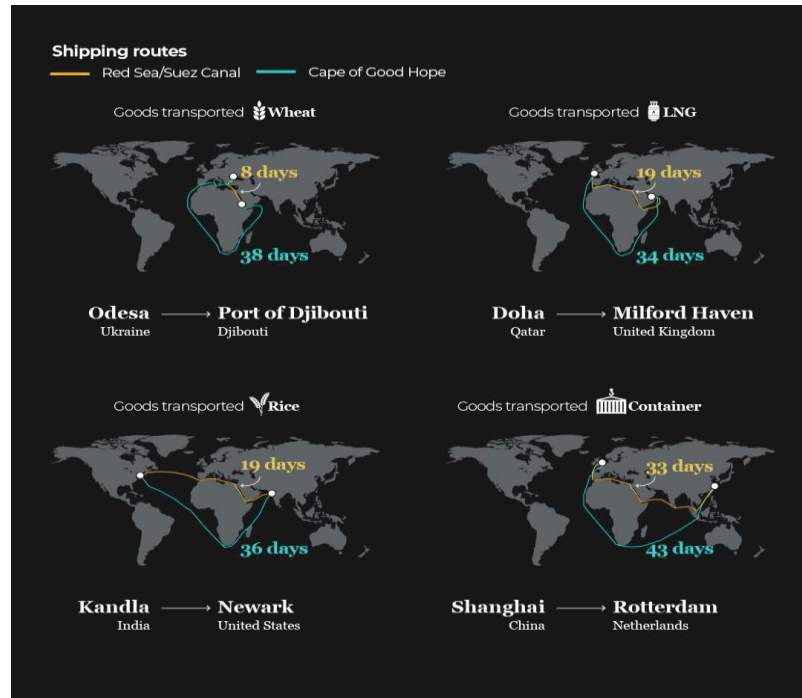
⁵⁰ Shankaran Jyothi, “Drewry index up 61%, Maersk to divert all vessels”, <https://www.itln.in/shippisng/drewry-index-up-61-red-sea-attacks-continue-1350816?infinitescroll=1>, January 5th 2024

⁵¹ Hooker Lucy, “Red Sea attacks delaying goods and pushing up costs, firms say”, <https://www.bbc.com/news/business-68398413>, February 26th 2024

⁵² “Red Sea Crisis: Spiralling Ocean freight rates from Far East to US may have peaked”, <https://container-news.com/red-sea-crisis-spiralling-ocean-freight-rates-from-far-east-to-us-may-have-peaked/>, February 19th 2024

The economic ramifications were threatening the global supply chain.⁵³ Delivery schedules were affected by re-routing, generally showing delays in the shipments.⁵⁴ **(Exhibit V).**

Exhibit V
A Depiction of Extended Delivery Cycles Due to Rerouting of Vessels



Source: “Mapping the Red Sea attacks: How Houthi attacks on one of the world’s main maritime trade routes have impacted international trade”, <https://interactive.aljazeera.com/aje/2024/mapping-red-sea-shipping-attacks/>, February 22nd 2024

Nora Szentivanyi (Szentivanyi), Senior Economist at J.P. Morgan expressed, “The lengthening of supplier delivery times acts as an adverse supply shock. The rerouting of ships around Africa’s Cape of Good Hope equates to a roughly 30% increase in transit times, and this implies an approximately 9% reduction in effective global container shipping capacity.”⁵⁵ Anna Nagurney, an Economist at the University of Massachusetts stated, “Taking a detour around the Cape of Good Hope seems extreme but shipping firms have done it before, for different reasons. In this case, there aren’t really any alternatives given the huge volumes of cargo involved... The harsh weather conditions sometimes encountered by vessels navigating Africa’s southern tip mean that this option is not without risk itself.”⁵⁶

To mitigate the delivery pressures many shipping companies deployed additional vessels and chartered ships on the shipping routes which spiralled the costs by up to 12% in December 2023. MB Shipbrokers, a shipbroking company, mentioned, “Owners have certainly become more bullish and are pushing for higher-than-last-done levels in all segments and most regions. Charter rates are headed higher, specifically for short periods of three to six months’

⁵³ Hussain Afaq and Malik Akhtar, “Can the IMEC address the Red Sea crisis? | Explained”, <https://www.thehindu.com/news/international/can-the-imec-address-the-red-sea-crisis-explained/article67885961.ece>, February 26th 2024

⁵⁴ “Mapping the Red Sea attacks: How Houthi attacks on one of the world’s main maritime trade routes have impacted international trade”, <https://interactive.aljazeera.com/aje/2024/mapping-red-sea-shipping-attacks/>, February 22nd 2024

⁵⁵ “What are the impacts of the Red Sea shipping crisis?”, op.cit.

⁵⁶ “Red Sea crisis: What it takes to reroute the world’s biggest cargo ships”, op.cit.

duration.”⁵⁷ Companies like Maersk attuned the vessel speeds and port calls on Asia-Europe routes and introduced innovative services like ‘truck bridges and sea-air transport options’.⁵⁸ Some exporters turned to air freight to meet deadlines, especially for time-sensitive shipments but was viable for compact and high-margin goods. Logistics firms such as Germany’s Schenker, France’s Bollore Logistics, and US-based C.H. Robinson secured additional air freight space in response to heightened customer demand during the crisis.⁵⁹

Many insurance companies hiked war-risk premiums or stopped covering cargo on the Red Sea route to avoid potential high-value claims. Analysts predicted a continued increase in transportation costs in the region due to rising insurance premiums and the perceived risk associated with navigating through high-risk areas. Saurabh Verma, Managing Director of Global Insurance Brokers, commented, “There is a Joint War Committee in London that monitors geopolitics. Depending on their assessments, insurance rates for war are determined. In a normal situation, standard premium rates apply. However, in a warlike situation, such as the one in the Red Sea, the need for reinsurance to cover war or similar perils is assessed to determine whether the current war rates remain applicable. The rates are adjusted in response to changes in risk, with higher risk levels leading to increased premium rates.”⁶⁰

Oil Supplies, Energy Crisis, and Inflation

The World Bank reported, “Conflict escalation could lead to surging energy prices, with broader implications for global activity and inflation... Recent attacks on commercial vessels transiting the Red Sea have already started to disrupt key shipping routes, eroding slack in supply networks and increasing the likelihood of inflationary bottlenecks. In a setting of escalating conflicts, energy supplies could also be substantially disrupted, leading to a spike in energy prices. This would have significant spillovers to other commodity prices and heighten geopolitical and economic uncertainty, which in turn could dampen investment and lead to a further weakening of growth.”⁶¹

The global crude oil industry faced turmoil due to tightened supply and increased freight rates. The oil delivery costs from the US to Asia rose by over \$2 per barrel in three weeks in January 2024.⁶² The situation worsened with rebel strikes on oil tankers. The attacks were affecting northbound shipments to Europe from Saudi Arabia and Iraq, and southbound flows of Russian oil to China and India post-EU sanctions.⁶³

⁵⁷ Miller Greg, “Container lines ‘scramble’ to rent more ships amid Red Sea crisis”, <https://www.freightwaves.com/news/container-lines-scramble-to-rent-more-ships-amid-red-sea-crisis>, January 15th 2024

⁵⁸ “Charting the course: How the shipping industry is adapting to tensions in the Red Sea”, <https://www.weforum.org/agenda/2024/02/red-sea-crisis-global-shipping-industry-adapting-maersk/>, February 23rd 2024

⁵⁹ Barrington Lisa, “Freighters seek air cargo back-up amid Red Sea shipping crisis”, <https://www.reuters.com/business/autos-transportation/freighters-seek-air-cargo-back-up-amid-red-sea-shipping-crisis-2024-01-17/>, January 17th 2024

⁶⁰ Mathew George, “War risk premiums for cargoes surge amid Red Sea tensions”, <https://indianexpress.com/article/business/economy/red-sea-crisis-war-risk-premium-cargo-ships-exports-9129732/>, January 27th 2024

⁶¹ Helm Toby, et al., “Red Sea crisis could shatter hopes of global economic recovery”, <https://www.theguardian.com/world/2024/jan/13/red-sea-crisis-could-shatter-hopes-of-economic-recovery>, January 13th 2024

⁶² “Red Sea attacks, rising freight rates drive shift in oil supply patterns”, <https://www.livemint.com/news/world/red-sea-attacks-rising-freight-rates-drive-shift-in-oil-supply-patterns-11707011152893.html>, February 4th 2024

⁶³ “War risk premiums for cargoes surge amid Red Sea tensions”, op.cit.

The crisis was expected to trigger a second energy crisis among western economies with the rising crude oil prices by 'more than \$10 a barrel and a 25% increase in natural gas'.⁶⁴ The major oil routes like Straits of Hormuz controlled 11% of US crude imports and moved 30 million barrels per day. The toll was evident in energy prices, with most oil blends rising between 7% and 10%, and speculators anticipated price increases of around 30% by March 2024.⁶⁵

Adi Imsirovic, Director at Surrey Clean Energy, a consulting company, opined, "Geo politics are not good for trade. If I was a buyer, I would be on my toes. It's a hard time for refiners, especially Asian refiners, who need to be more flexible." To manage risk and high freight, buyers were reorienting the supply destinations to nearby sources. But this initiative was a temporary move for import dependent economies like India and South Korea.⁶⁶ Further, the non-oil commodities companies like Tetley and Yorkshire faced similar constricted supply issues.⁶⁷

The crisis further augmented the concerns about inflation among global economies. J.P. Morgan estimated a 0.7% surge in global core goods inflation and a 0.3% increase in overall core inflation for the first half of 2024 due to higher container shipping costs. Szentivanyi anticipated, "If sustained, there could also be a hit to global industry on the downside. This reinforces our concerns that global industry is starting off 2024 weak and could struggle to post even a modest 1–2%ar (annual rate) gain in the first half of the year."⁶⁸

The World Bank disclosed the global economic ramifications stating, "Conflict escalation could lead to surging energy prices, with broader implications for global activity and inflation. Other risks include financial stress related to real interest rates, persistent inflation, weaker than expected growth in China, further trade fragmentation and climate change-related disasters."⁶⁹

The Environmental Impact

The International Maritime Organisation aimed for net zero carbon emissions by 2050 and to reduce 20% emissions by 2030. However, rerouting increased ship distances, leading to higher fuel usage and increased carbon emissions for the same cargo. Rico Luman, Transport Economist at ING stated, "If this continues, shipping won't be able to reach reduction of emissions this year. Oil tankers are covering significantly more miles than they were prior to the war in Ukraine because sanctions targeting Russia have led to the reshaping of many shipping routes. So, ships of certain kinds are already emitting more, per unit of cargo, than they were previously." Sharp rises in shipping activity were causing significant alterations in underwater sound levels, impacting marine flora and fauna.⁷⁰ Furthermore, the Houthis sunk a vessel carrying 21,000 metric tons of ammonium phosphate sulphate fertilizer, causing a major spillage of oil and fertilizer into the Red Sea. This posed significant risks to the health of millions, threatened food and water supplies, and endangered marine life.⁷¹

⁶⁴ Heynes George, "Could tension in the Red Sea cause a second energy crisis?", <https://www.current-news.co.uk/could-tension-in-the-red-sea-cause-a-second-energy-crisis/>, January 25th 2024

⁶⁵ Cohen Ariel, "Houthi & Red Sea Crisis Threaten Global Energy Markets", <https://www.forbes.com/sites/arielcohen/2024/01/17/houthi--red-sea-crisis-threatens-global-energy-markets/?sh=6675e9a75547>, January 17th 2024

⁶⁶ "Red Sea attacks, rising freight rates drive shift in oil supply patterns", op.cit.

⁶⁷ "Red Sea attacks delaying goods and pushing up costs, firms say", op.cit.

⁶⁸ "What are the impacts of the Red Sea shipping crisis?", op.cit.

⁶⁹ "Red Sea crisis could shatter hopes of global economic recovery", op.cit.

⁷⁰ "Red Sea crisis: What it takes to reroute the world's biggest cargo ships", op.cit.

⁷¹ Maimann Kevin, "Cargo ship hit by Houthis sinks, spilling oil and fertilizer into Red Sea", <https://www.cbc.ca/news/world/houthi-attack-oil-spill-1.7132518>, March 3rd 2024

IMF, Chief Economist, Pierre-Olivier Gourinchas blogged, “As of now, the impact that we see on inflation in, let’s say, European economies, is fairly modest. Even though the increase in shipping costs is substantial, this hasn’t really translated into an overall increase, of a sizable nature, in inflation.”⁷²

The Red Sea crisis underscored the intricate dependencies in global supply chains and the critical role of maritime corridors in maintaining economic stability.⁷³ The extent of its impact hinges on the crisis’ intensity and duration, with sceptics questioning its longevity. Eddie Anderson, Professor at Imperial College London stated, “You’re certainly talking about months. I don’t imagine it’s going to be years – but who can say.”⁷⁴ Charles Van Der Steene, Regional President of Maersk North America commented, “Unfortunately, we don’t see any change in the Red Sea happening anytime soon. Our advice to our customers is specifically about building upon the uncertainty by being agile. Customers need to have the ability to enter the North American market from different endpoints.”⁷⁵

Judah Levine, Head of Research at Freightos opined, “The market is in a state of overcapacity, which happens to be a good thing. There should be enough capacity to accommodate this disruption.”⁷⁶

Though some pessimists anticipated the crisis to escalate. John Llewellyn⁷⁷ stated, “There is a horrible and inevitable progression that could see the situation in the Red Sea spread to the strait of Hormuz and the wider Middle East.” Resonating the same view, Liam Byrne⁷⁸ quoted, “There’s now a real risk that a Red Sea battle will push up prices, just as inflation was beginning to fall. The World Bank is already warning that global supply chains are once more in peril ... not least because this new struggle in Suez comes as drought is cutting trade through the Panama Canal. Two of the world’s five keys to trade are now in real jeopardy.”⁷⁹

Despite all the debate, Bockmann believed in the resilience of global supply chain, as she concluded, “Companies involved in shipping and logistics are highly experienced in getting cargo to where it needs to go, one way or another, and global supply chains are actually highly resilient. The current Red Sea crisis should not be viewed as ‘Armageddon’ for the shipping industry.”⁸⁰ It was anticipated that the impact of the crisis would not be as severe as the pandemic or the Suez Canal blockage.⁸¹

⁷² Cooban Anna, “Clouds over global economy ‘beginning to part’ but Red Sea crisis could spell trouble, says IMF”, <https://edition.cnn.com/2024/01/30/economy/imf-global-economy-growth-red-sea/index.html>, January 30th 2024

⁷³ “Charting the course: How the shipping industry is adapting to tensions in the Red Sea”, op.cit.

⁷⁴ “Red Sea crisis: What it takes to reroute the world’s biggest cargo ships”, op.cit.

⁷⁵ Minkoff Yoel, “Will the shipping disruptions in the Red Sea be inflationary?”, <https://seekingalpha.com/news/4067466-will-the-shipping-disruptions-in-the-red-sea-be-inflationary>, February 15th 2024

⁷⁶ “Attacks on ships in the Red Sea are disrupting global trade. Here’s how it could affect what you buy”, op.cit.

⁷⁷ He is a Partner at Independent Economics and a former Chief Economist of the Organisation for Economic Co-operation and Development (OECD).

⁷⁸ He is a British politician serving as the Member of Parliament and chair of the Commons business and trade select committee (UK).

⁷⁹ “Red Sea crisis could shatter hopes of global economic recovery”, op.cit.

⁸⁰ “Red Sea crisis: What it takes to reroute the world’s biggest cargo ships”, op.cit.

⁸¹ Kit See Tang, “CNA Explains: What escalating Red Sea tensions mean for the world, including Singapore”, <https://www.channelnewsasia.com/world/red-sea-houthis-attacks-cna-explains-ships-trade-supply-chain-4026566>, January 6th 2024

Annexure I

An Overview of Alternate Route used by Companies Amid the Red Sea crisis

Red Sea turmoil shakes up global trade routes

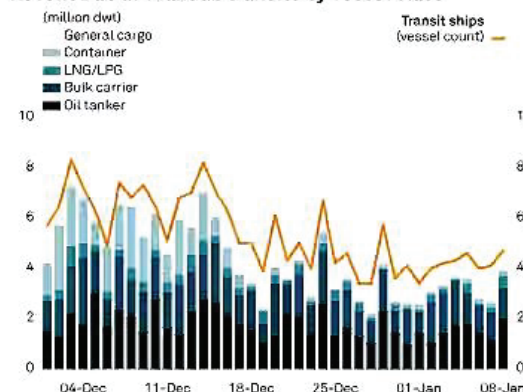
Shipping transiting the Red Sea has dropped by more than half since early December, S&P Global Commodity Insights data shows, as vessels travel via the Cape of Good Hope to avoid Houthi attacks in the strategic trade route. Container shipping has been most affected with the longer voyage boosting freight costs and displacing bunker demand.

Timeline of events

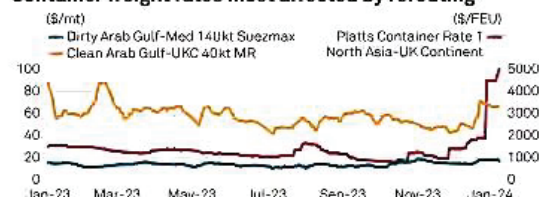
- 2023
- 10-Oct Houthis warn of missiles, drone attacks if the US intervenes in the Israeli war on Gaza
- 19-Oct USS Carney shoots down missiles and drones fired toward Israel by the Houthis
- 31-Oct Houthis announce official entry into the war to support Palestinians
- 19-Nov Houthi forces seize Galaxy Leader container ship
- 12-Dec Missile hits Norwegian vessel Strinda off Yemen
- 15-Dec A.P. Moller-Maersk, Hapag-Lloyd become first major shippers to avoid Red Sea
- 24-Dec Maersk resumes Red Sea shipping under US-led naval protection
- 31-Dec US sinks three Houthi vessels off Yemen after attempted attack on Maersk Hangzhou
- 2024
- 02-Jan Maersk suspends Red Sea transits indefinitely



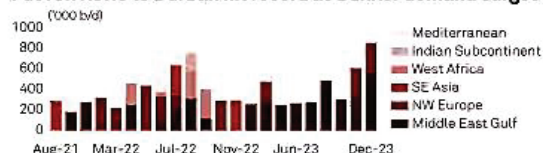
Recent Bab al-Mandab transits by vessel class



Container freight rates most affected by rerouting



Fuel oil flows to Durban hit record as bunker demand surges



S&P Global
Commodity Insights

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Source: Sisodia Srishti Singh, "Rising Red Sea tensions and its potential impact on India's export and oil trade", <https://www.wionews.com/world/rising-red-sea-tensions-and-its-potential-impact-on-indias-export-and-oil-trade-681608>, January 19th 2024